the status and future of persons of Indian origin in Ceylon, accepting a formula based on what the Ceylonese government considered 'the absorbable maximum' to which it could accord the Indian migrant community citizenship of Ceylon. The island country agreed to accept up to three lakh of the more than nine hundred and seventy-five thousand workers of Indian origin while India agreed to accept five hundred and twenty-five thousand of the migrants as Indian citizens, to be repatriated over a period of fifteen years. In 1974, the two countries agreed to share the remaining one hundred and fifty thousand Indian migrants between them. But the situation changed in 1978 when J.R. Jayewardene was elected president on 4 February and made important changes and developments in the constitutional, political and economic scenes of the country. Discarding the Westminster type of constitution under which the country had functioned since independence, a presidential form of government was ushered in, with vast executive power for the head of the state. The problem of the Tamils continued to elude a solution, but the government isolated the Tamil dominated eastern province by winning the sympathies of the members of parliament from there. By appointing S. Thondaman as the cabinet minister representing the Indian estate workers, the government separated the Indian Tamils from the Ceylon Tamils. However the law and order situation in the north of the country continued to cause anxiety. The local population refused to help police investigations into cases of robbery, bank holdups, murders and so on that were perpetrated by young terrorists who styled themselves the Tiger Liberation Movement.

As far as the economy was concerned, Sri Lanka was receiving aid from around the world. A secret report from Colombo in 1981 suggested that the country had received 17,222 million